Refund Calculation, Presentation and Customer Impact

Summary

Octopus Energy has consistently overestimated gas usage on this account since its inception, as evidenced by the annual consumption estimates included in each bill (see XXXRefAnnualEstimates).

This resulted in persistently high bills, increasing direct debit levels, and a repeated pattern of the account appearing to fall into debt despite substantial payments.

The issue became clear when an actual meter reading was obtained (see XXXRefMeterPhoto), which demonstrated that estimated readings were materially higher than actual consumption. This triggered a refund process.

Prior to the refund being applied, I requested clarification on how the refund would be calculated, particularly given that a significant portion of the overestimated usage appeared to fall within periods where gas unit rates were materially higher (in excess of 10p/kWh, with peaks around 16p/kWh before subsidy).

Despite multiple requests (see XXXRefEmailsHelpRequests and XXXRefSupplementaryQuestions), no explanation was provided.

Structure and Presentation of the Refund

The refund was applied via a bill (see XXXRefRefundBill), which includes:

- new charges applied to recent periods
- reversals of charges from earlier periods

However, these are presented in a fragmented and non-sequential manner.

Specifically:

- refunded periods are split into sub-sections
- refunded periods do not align cleanly with newly charged periods
- periods are not presented in chronological order
- elements of new billing are interwoven with refund adjustments

This results in a presentation that is extremely difficult to interpret.

The effect of this structure is that it is almost impossible for a customer to understand how the refund has been calculated without significant effort.

I would not have been able to reconstruct what had occurred had I been working at the time.

Full supporting bills are provided in Appendix Z (Z1–Z3).

Lack of Explanation and Support

Despite repeated requests for assistance:

- no explanation of the refund methodology was provided
- no breakdown of how refunded units were valued was given
- no linkage between refunded units and applicable unit rates was provided

Initially, responses indicated that clarification would be provided. This was followed by responses stating that access to the account/system was not available, and ultimately no further explanation was given (see XXXRefEmailsInitialResponse and XXXRefEmailsNoAccess).

This represents a complete absence of support at a point where clear explanation was required.

The effect, whether intended or not, is to leave the customer unable to understand what costs and refunds are being applied, increasing both stress and uncertainty.

Refund Valuation and Unit Rates

Based on reconstruction of the account:

- the refund appears to have been calculated using unit rates in the region of approximately 6p/kWh
- this corresponds to more recent billing periods

However:

- the overestimation spans a much longer period
- earlier periods include materially higher unit rates (10p+/kWh, with peaks around 16p/kWh pre-subsidy)
- Octopus's own annual consumption estimates indicate that overestimation was ongoing throughout these earlier periods (see XXXRefAnnualEstimates)

There is no clear justification for selecting only the later, lower-cost period as the basis for refund valuation.

It is therefore highly likely that the refund does not fully reflect the cost incurred as a result of the overestimation.

App Data and System Effects

The approach used has further consequences:

- app-based meter readings appear to increase and decrease over time
- this is not physically consistent with a cumulative gas meter
- it reflects overlapping "estimated" and "corrected" data being presented simultaneously

This creates additional confusion and undermines confidence in the data presented.

(See Appendix Z4 – App Readings)

Customer Impact

As a direct consequence of:

- the opaque structure of the refund
- the absence of explanation
- the lack of engagement from Octopus

I was required to manually reconstruct the account history.

This required approximately **25+ hours** of analysis, including:

- extracting and reviewing multiple bills
- constructing spreadsheets
- mapping overlapping time periods
- attempting to infer the calculation method used

Without undertaking this work, I would have been unable to determine whether the refund was correct.

This represents a significant and avoidable burden placed on the customer.

Complaint Points

In summary:

1. The refund is presented in an opaque and illogical manner, making it extremely difficult for a customer to understand how it has been calculated.

2. No meaningful assistance or explanation has been provided, despite multiple requests, leaving the customer unable to understand the financial position.

3. The refund appears to be based on lower, more recent unit rates, with no justification for excluding earlier higher-cost periods during which overestimation also occurred.

4. The approach used has created misleading and confusing system outputs (including app readings and comparative usage information).

Resolution Sought

- A clear explanation of the refund calculation methodology
- A recalculation of the refund reflecting the full period of overestimation and applicable unit rates
- Correction of billing/system presentation to ensure clarity and consistency
- Compensation for time and effort (see separate section)
- Compensation for stress and disruption caused

Appendices

Appendix Z contains:

- Z1 – Refund bill
- Z2 – Refunded bill 1
- Z3 – Refunded bill 2
- Z4 – App readings (illustrating non-monotonic behaviour)

XXXAppendixIntroPage (optional): brief explanation of structure and relevance